

the people I met said that firing a loyal employee was the most painful thing they did. But every executive I know accepts firing as a part of his or her job.

Not so in Japan. The Japanese view people as permanent capital, to be protected and nurtured, rather than as a discretionary cost to be chopped at signs of falling market share. According to Peters and Waterman, this view goes a long way toward explaining the productive, loyal Japanese work force. Some American companies have tried to adopt something similar to the Japanese view. But those companies are exceptions.

A partner once told me that the inexorable project life cycle explains America's institutional traps. Any project must pass through five phases. Phase 1 is *enthusiasm and commitment*. In this phase of the project we're turned on and geared toward success. Early on in our careers we may spend years in this phase. But senior people know that enthusiasm and commitment at some time give way to *disappointment and disillusionment*. Yesterday's new idea becomes today's black-and-white TV.

Disappointment and disillusionment usually last only a short time before companies begin *the search for the guilty*. Here we decipher old memos, distance ourselves from the project, and start ordering doubles at the Fifty-Fifty Club. Our hands shake more and we gain weight. If we're lucky we come through relatively unscathed and join in phase 4 *the punishment of the few*. Like phases 1 to 3, phase 4 is inevitable. Blood flows until, in phase 5, we reach every middle manager's dream, *the "distinguishment" of the uninvolved*. In this final phase, those who managed to avoid being associated with the project—or any project—seem more intelligent, more capable.

The project life cycle sounds uncomfortably like a career life cycle. The focus on short-term results, unbounded legal liability, antibusiness bureaucracy, laissez-faire trade policy—these and other worries push “people problems” far down the line. The old AT&T defined managing as “getting things